Lessee: Day One

ROU Asset + Liability

two entries on day one!

Financial Reporting

In simple words *At commencement, the lessee books an asset for the right to use and a liability for the rent still to be paid.*

1 Lease liability

Present value of lease payments not yet paid at the commencement date, discounted at the rate implicit in the lease, else the lessee's incremental borrowing rate.

Implicit rate first, IBR second

2 Right-of-use (ROU) asset

Lessee's right to use the leased asset for the lease term. Measured at cost: lease liability plus certain other amounts.

1. Applies to the lessee's books under Ind AS 116; one single lessee model, no finance/operating split
2. Short-term (12 months or less) and low-value leases: lessee may opt to expense payments straight-line
3. Variable payments linked to sales or usage are not included in the liability; they are expensed when incurred
4. Index- or rate-linked variable payments are included, using the index/rate at commencement



Swipe for the formula →

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THE TWO DAY-ONE VALUES

liability first, then asset

Lessee Initial Measurement (Ind AS 116)

Lease liability at commencement

$$LL = \Sigma P / (1 + r)^t$$

P = lease payment unpaid at commencement; r = implicit rate (else IBR); t = period of payment

ROU asset at cost

$$ROU = LL + LP + D + R - I$$

LL = lease liability; LP = payments made at/before start; D = initial direct costs; R = restoration estimate; I = incentives received

LIABILITY IS THE BASE, ROU ADDS EXTRAS! ROU equals the liability only when there are no prepayments, direct costs, restoration costs or incentives.

Swipe for a memory trick →

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Study Trick

Lessee Initial Measurement (Ind AS 116)

remember the LPDRI chain

Liability Plus Dad's Rent Incentive

LL + LP + D + R − I. Everything is added except the incentive (Incentive is the one received, so it is minus).

How to attempt it

1 List lease term and payments → 2 Pick rate: implicit, else IBR →

3 Discount to get lease liability → 4 Add LP, direct costs, restoration →

5 Deduct incentives; pass entry

Exam Tip

Write the journal: Dr ROU asset, Cr Lease liability (and Cr Cash for payments made at start). Marks follow the working of both.

Doubt Buster

Do we use the IBR every time? No. Use the rate implicit in the lease if it can be readily determined. Only otherwise use the lessee's incremental borrowing rate.

Swipe for common mistakes →

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COMMON MISTAKES

Lessee Initial Measurement (Ind AS 116)

where students lose marks

✗ Including sales-linked variable rent in the lease liability

✓ Exclude it; recognise it in profit or loss when incurred. Include only index- or rate-linked variable payments.

✗ Adding lease incentives received to the ROU asset

✓ Lease incentives received reduce the ROU asset cost (they are deducted).

✗ Discounting at IBR even when the implicit rate is known

✓ Use the implicit rate if readily determinable; otherwise IBR.

✗ Ignoring the restoration cost when measuring the ROU asset

✓ Include the estimated restoration cost in ROU asset cost, as per Ind AS 37 obligation.

TOMORROW'S CA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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